Chapter 7
Valuation Methods

Valuation is a critical aspect of fundamental analysis, helping investors determines the intrinsic value of a company or its securities. In this chapter, we will explore various valuation methods, each offering a unique perspective on how to assess the worth of an investment.

7.1 Discounted Cash Flow (DCF) Analysis

7.1.1 Understanding DCF

Discounted Cash Flow (DCF) analysis is a fundamental valuation method that estimates the present value of a company's future cash flows. It involves projecting future cash flows and discounting them back to their present value using a discount rate, often the company's cost of capital. The resulting net present value (NPV) represents the estimated intrinsic value of the company.

7.1.2 Components of DCF Analysis

- **Cash Flow Projection:** Forecasting future cash flows is a critical step. This involves estimating operational cash flows, capital expenditures, and changes in working capital.
- **Discount Rate:** The discount rate reflects the time value of money and the risk associated with the investment. It often includes the company's cost of equity and debt.
- **Terminal Value:** DCF incorporates a terminal value representing the company's value beyond the explicit forecast period. This is often calculated using the perpetuity growth method or an exit multiple.

7.2 Comparable Company Analysis (CCA)